

CLEARSTOCKS

Company Deck — Independent Equity Research

September 2026

Refreshed monthly

CAPITAL GOODS

BHEL

Bharat Heavy Electricals

Current price Rs 426.55

EXPENSIVE VS PEERS (EV_TO_EBITDA, 47%)

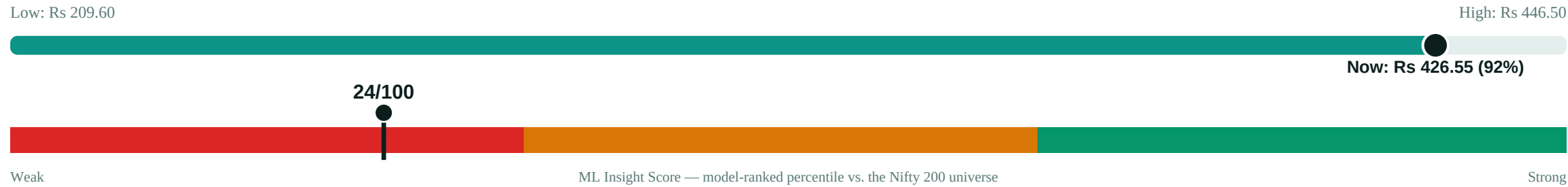
INSIGHT SCORE 24/100

Educational research tool. Not investment advice. See disclaimers, final page.

BEFORE YOU READ ON — THE FULL PICTURE IN ONE PAGE

At a Glance

CURRENT PRICE	VS. 52-WEEK HIGH	MARKET CAP	SECTOR
Rs 426.55	-4.5%	Rs 148,527 Cr	Capital Goods
P/E RATIO	RETURN ON EQUITY	DEBT-TO-EQUITY	VERDICT
61.0x	6.1%	0.31x	Expensive vs peers



This page is the whole report compressed to numbers. Section 1 onward builds the story behind each of them — what the business does, who owns it, how the industry is moving, and how the verdict above was actually reached.

6 SECTIONS, EACH WITH ITS OWN DIVIDER

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THE ONE-PAGE READ

Executive Summary

BHEL — Bharat Heavy Electricals

Expensive vs peers (EV_to_EBITDA, 47%)

INSIGHT SCORE	SECTOR	CURRENT PRICE	COMBINED READ
24/100	Capital Goods	Rs 426.55	AVOID

- Order book of roughly Rs 1,92,298 Cr gives multi-year revenue visibility, concentrated 81% in Power.
- 63.17% promoter ownership limits free float and ties the stock to government/public-sector capex cycles.
- Brokerage views are sharply split — bull cases point to order-book strength, bear cases to valuation and a maturing thermal-power cycle (see Section 5).
- Revenue grew at a 13.5% CAGR over the last 3 years of available financial history (see Section 3).

This is a data snapshot for research purposes only — it is not investment advice, and it is not a recommendation to buy, hold or sell this stock. See the Disclaimers section at the end of this deck.

Key Statistics

CURRENT PRICE	REPORT DATE	INSIGHT SCORE	MARKET CAP
Rs 426.55	September 2026	24/100	Rs 148,527 Cr

Valuation Verdict: Expensive vs peers (EV_to_EBITDA, 47%) · **Model Read:** AVOID (weak signal + expensive)

52-Week Trading Range

Low: Rs 209.60

High: Rs 446.50



KEY TAKEAWAY › BHEL trades at Rs 426.55, 92% of the way up its 52-week range (Rs 209.60-Rs 446.50) — Insight Score 24/100, flagged Expensive vs peers (EV_to_EBITDA, 47%).

Company Overview

SECTOR	INDUSTRY	INDEX	ISIN
Capital Goods	Capital Goods	Nifty 200	INE257A01026

Bharat Heavy Electricals Ltd.

Founded 1956 — Operates 16 manufacturing units and 2 repair units across India, with a presence in 76 countries.

Power (turbines, boilers, generators) - 76.9% of Q1 FY27 revenue
Industry (transformers, valves, power electronics, transportation, defence & nuclear equipment) - 23.1% of Q1 FY27 revenue

A full company profile, shareholding pattern, segment breakdown and industry context follow in Section 2 of this report.

SECTION 2

Company, Industry & Leadership

- Company Profile
- Shareholding Pattern
- Governance & Ownership
- Revenue & Order Book by Segment
- Industry Context — Market Sizing
- Industry Context — Competitive Landscape
- Industry Context — Growth Drivers & Risks
- Leadership
- Recent News

Company Profile

COMPANY AGE	HEADQUARTERS	BUSINESS SEGMENTS	INDEX MEMBERSHIP
70 years	New Delhi, India	2	Nifty 200

OWNERSHIP

Government of India - 63.17% promoter (President of India) as of March 2025; central public sector undertaking (Maharatna status), under the Ministry of Heavy Industries

OPERATIONS

Operates 16 manufacturing units and 2 repair units across India, with a presence in 76 countries

Sources: [Wikipedia](#) · [BHEL Official Site](#) · [Trendlyne Shareholding](#)

KEY TAKEAWAY › Nearly 70 years old with 16 manufacturing units, BHEL is one of the few Indian capital-goods companies with the manufacturing scale to bid on the largest thermal power EPC contracts alone -- that scale is the core of its moat. The flip side is the same scale makes it slow to pivot: a 16-plant, government-owned manufacturing base built for thermal power equipment cannot be re-tooled for renewables or grid equipment as quickly as a smaller private competitor could.

Shareholding Pattern

Promoter (Government of India)	63.17%
DII (Domestic Institutions)	16.3%
Public / Retail	13.3%
FII (Foreign Institutions)	7.2%

Key Named Investors		
Investor	Holding	Note
Life Insurance Corporation of India (LIC)	6.72%	Largest single named institutional holder -- roughly 23.4 crore shares
Nippon Life India Trustee Ltd (incl. Nippon India Small Cap Fund)	2.47%	Largest mutual-fund holder -- ~8.6 crore shares
NPS Trust (SBI Pension Fund Scheme - State Govt)	1.04%	Government employee pension corpus -- ~3.6 crore shares

Sources: [Trendlyne](#)

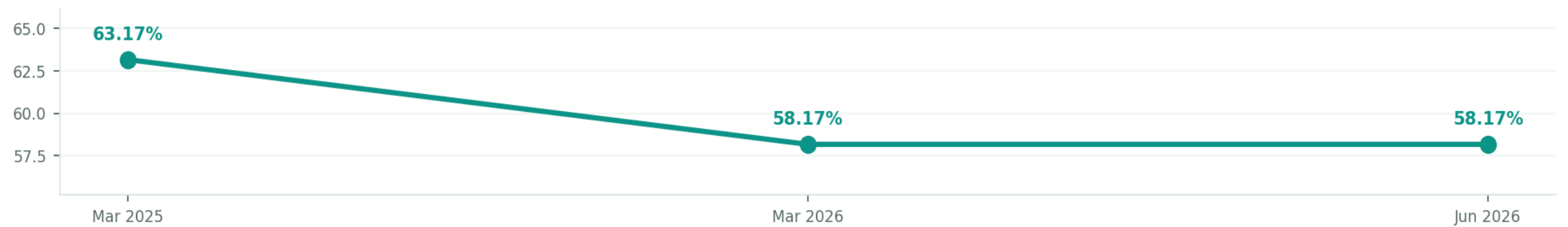
KEY TAKEAWAY › At 63.17% promoter ownership, BHEL's free float (the shares actually available to trade) is under 37% of the company -- well below the roughly 50%+ float typical of privately-promoted capital goods peers. That concentrates control with the Government of India (policy risk cuts both ways: it secures the domestic order pipeline, but also ties the stock to public-sector capex cycles and divestment headlines) and structurally limits how much stock institutions can accumulate -- DII and FII holdings combined (23.5%) are modest for a large-cap with this order-book visibility.

PROMOTER HOLDING TREND & PLEDGE STATUS

Governance & Ownership

PROMOTER HOLDING (LATEST)	CHANGE, MAR 2025 TO JUN 2026	PLEDGED SHARES	OWNERSHIP TYPE
58.17%	-5.00 pts	None disclosed	Government PSU (Maharatna)

Promoter Holding, % of Total Shares — Trend



KEY TAKEAWAY › Promoter (Government of India) holding fell 5 percentage points between March 2025 and March 2026, the sharpest move in BHEL's recent shareholding history -- consistent with the government's ongoing public-sector divestment programme rather than any single disclosed event. No pledged promoter shares are disclosed in public shareholding filings, which is typical for a government-owned promoter (unlike private promoters, the government does not borrow against its shareholding).

Sources: Screener.in · Trendlyne

Revenue & Order Book by Segment

Revenue by segment (most recent quarter)		
Segment	Revenue	% of Total
Power	Rs 5,919.50 Cr	76.9%
Industry	Rs 1,778.22 Cr	23.1%
Total	Rs 7,697.72 Cr	100%
Order book by segment		
Segment	Order Book	% of Total
Power	Rs 1,92,298 Cr	81%
Industry	Rs 43,397 Cr	18%
Exports	Rs 3,362 Cr	1%
Total	Rs 2,40,000 Cr (approx.)	100%

Sources: [Tradebrains](#)

KEY TAKEAWAY › Power is ~77% of revenue but ~81% of the order book -- so the mix is set to tilt even further toward thermal power over the next few years as that backlog converts to billed revenue. That's the crux of both the bull and bear case in one number: it means BHEL's near-term growth is effectively a single-segment bet on thermal-power execution, with Industry (transformers, defence, nuclear) providing diversification on paper but not yet in the delivery pipeline.

Industry Context

BHEL operates in India's capital goods / power equipment manufacturing industry. India's overall capital goods production reached roughly Rs 5,69,900 crore (~\$67.4 billion) in FY25, up from Rs 2,66,672 crore in FY21. Within that, Heavy Electrical Equipment - BHEL's core category - was valued at roughly Rs 3,72,200 crore (~\$44 billion) in FY25, with India's broader electrical equipment market projected to grow at a 14.3% CAGR from FY24 to FY28. Historically, BHEL-supplied equipment has represented a very large share of India's installed thermal power generation capacity, though the sector faces rising competition from private and international equipment makers as India also diversifies capacity toward renewable energy generation.

Sources: [Wikipedia](#) · [IBEF - Engineering & Capital Goods](#)

KEY TAKEAWAY › A 14.3% industry CAGR sounds supportive, but most of that growth is being driven by transmission, renewables-linked and grid-modernization equipment -- categories where BHEL has a much smaller footprint than in legacy thermal power gear. Being the incumbent in a slower-growing sub-segment of a fast-growing industry is a different setup than simply 'growing with the industry' -- it's the reason the order book's heavy thermal-power tilt matters more here than it would for a more diversified equipment maker.

COMPETITIVE LANDSCAPE

Industry Context

Player	Category	Position vs. BHEL
Siemens Ltd / Siemens Energy India	Technology leader	Stronger in grid tech, HVDC, switchgear and digital controls -- competes with BHEL on technology depth rather than scale.
ABB India	Technology leader	Competes chiefly in grid automation and electrical systems, an area where BHEL has less depth than its core thermal equipment business.
Hitachi Energy India	Technology leader	Strong in transmission and HVDC technology -- a segment adjacent to, but not central to, BHEL's current order book.
Larsen & Toubro (L&T;)	EPC & execution rival	Challenges BHEL on delivery speed, project management and EPC integration across large infrastructure contracts.
GE Vernova, Mitsubishi Power, Doosan, Shanghai Electric	Thermal equipment OEMs	Direct global rivals in BHEL's core thermal power equipment category -- the segment generating ~81% of BHEL's order book.
KEC International, Kalpataru Projects	Transmission & execution specialists	Compete in transmission-line EPC, a fast-growing adjacent category to BHEL's traditional generation-equipment focus.
Triveni Turbine, Thermax	Niche players	Triveni focuses on steam/captive power; Thermax specialises in energy-efficiency systems -- smaller-scale but focused competitors.

Sources: [PESTEL Analysis - BHEL Competitors](#)

KEY TAKEAWAY › BHEL's edge has historically been scale and India-wide manufacturing presence, not technology leadership -- Siemens, ABB and Hitachi Energy all out-position it on digital controls and HVDC/grid technology, which matters more as India's grid modernizes. Meanwhile L&T; pressures BHEL on pure execution speed. The read: BHEL's moat is being the default choice for large-scale thermal EPC at government pricing and relationship terms, not necessarily the most technologically advanced option in any single sub-segment -- a position that gets structurally weaker as India's capex mix shifts away from thermal.

GROWTH DRIVERS & EMERGING RISKS

Industry Context (1/2)

The sector's near-term setup is a story of two forces pulling in opposite directions. On the supportive side, India's public capital expenditure push (cited around Rs 12.2 lakh crore) keeps large government and PSU infrastructure orders flowing, and BHEL has recently won large contracts including a roughly Rs 10,300 crore bid for a thermal power station expansion, alongside a growing role supplying components for India's nuclear program (including the Kalpakkam Prototype Fast Breeder Reactor programme). On the pressure side, competition is intensifying from both global players (GE Vernova, Siemens Energy) and newer domestic entrants (including Adani Group's push into power equipment), and analysts have flagged that any easing of restrictions on Chinese equipment makers could trigger sharp pricing pressure across the segment. BHEL's current valuation (P/E well above sector peers, as shown in the Sector Comparison section) already implies the market expects the supportive side of this to win.

GROWTH DRIVERS	EMERGING RISKS
- Rs 12.2 lakh crore public capital expenditure push keeping government/PSU infrastructure orders flowing - Rs 10,300 crore Odisha Genco thermal expansion win adds directly to the order book - India's nuclear program build-out (incl. Kalpakkam Prototype Fast Breeder Reactor) opens a new equipment category for BHEL 14.3% industry CAGR (FY24-FY28) for India electrical equipment broadly, per IBEF	- Global technology leaders (GE Vernova, Siemens Energy) intensifying competition in core segments - Domestic capex entrants (Adani Group) pushing into power equipment manufacturing - Potential easing of restrictions on Chinese equipment makers could trigger sharp pricing pressure - Current valuation (P/E far above peer average, per Sector Comparison) already prices in the bull case

GROWTH DRIVERS & EMERGING RISKS

Industry Context (2/2)

Net read: weighing the drivers on the left against the risks on the right is the actual analytical judgement this section exists to support — neither list means much read alone.

KEY TAKEAWAY › Netting these against each other: the order-book tailwinds are real and already-won (not projections), but so is the price the market is paying for them. The genuine swing factor to watch isn't demand -- it's whether new entrants and eased Chinese import rules compress BHEL's pricing power on the ~81% of its order book that's still thermal-power equipment, a category BHEL doesn't lead on technology.

Sources: [Whalesbook](#) - [India Capital Goods](#)

BOARD & SENIOR MANAGEMENT ROSTER

Leadership (1/2)

Chairman & Managing Director	K. Sadashiv Murthy - in office since November 1, 2023
Director (Finance) & CFO	Rajesh Kumar Dwivedi
Director (Power), additional charge of HR	Tajinder Gupta
Director (Industrial Systems & Products)	Bani Varma - in office since October 9, 2023
Director (Engineering, Research & Development)	S M Ramanathan
Part-Time Official Director	Nigar Fatima Husain - Addl. Secretary & Financial Adviser, Ministry of Commerce & Industry (since April 27, 2026)
Part-Time Official Director	Vijay Mittal - Joint Secretary, Ministry of Heavy Industries (since March 25, 2022)

We show only board/leadership roles that are officially disclosed; we do not have shareholding cap-table detail beyond what's publicly filed.

Sources: [BHEL Board of Directors](#) · [BHEL - Shri K Sadashiv Murthy bio](#)

CAREER BACKGROUND & CREDENTIALS

Leadership (2/2)

K. Sadashiv Murthy (Chairman & Managing Director)

Electrical Engineering degree (Bhopal University) + MBA in Finance. Joined BHEL in 1989 at the Jhansi unit (transformers & locomotives); over a 34-year career worked across Hyderabad, Bhopal, Jhansi and Varanasi. Immediately before CMD, headed Corporate Operations Management as Executive Director and is credited with helping return BHEL to profitability in FY22-23 after two loss-making years. Also chairs subsidiaries Bharat Pumps & Compressors Ltd. and Heavy Engineering Corporation Pvt. Ltd.

Sources: [BHEL Board of Directors](#) · [BHEL - Shri K Sadashiv Murthy bio](#)

KEY TAKEAWAY › As a central public sector undertaking, BHEL's board mixes career executives who came up through the company's own operations (the CMD and functional directors) with part-time official directors nominated by the Ministry of Heavy Industries and other ministries -- a governance structure common to Maharatna PSUs. That means leadership continuity and strategic direction are more exposed to government appointment cycles and policy priorities than at a privately-promoted peer, for better (alignment with national infrastructure priorities) or worse (slower, more bureaucratic decision-making).

5 ITEMS, MOST RECENT FIRST

Recent News (1/2)

 May 4, 2026

BHEL FY26 profit soars 221% to Rs 1,578 Cr, driven by record orders

PAT of Rs 1,578 crore for FY26 vs Rs 513 crore in FY25 (+221%); revenue from operations rose 19% YoY to Rs 33,782 crore from Rs 28,339 crore, on record order inflow.

Whalesbook — [source](#)

 2026

Order book reaches roughly Rs 2.4 lakh crore, dominated by Power segment

As of FY26, BHEL's outstanding order book stood at around Rs 2.40 lakh crore, with the Power segment accounting for about 81% (~Rs 1,92,298 crore) and Industry about 18% (~Rs 43,397 crore).

Tradebrains — [source](#)

 March 28, 2025

BHEL shares rise 3% on Rs 11,800 crore order win from Chhattisgarh power co.

BHEL stock moved higher after securing a Rs 11,800 crore thermal power order from Chhattisgarh State Power Generation Company for the Korba West project.

Business Standard — [source](#)

5 ITEMS, MOST RECENT FIRST

Recent News (2/2)

May 5, 2026

Analysts flag valuation and execution concerns despite strong Q4 growth

Coverage following BHEL's strong Q4 results also flagged concerns around rich valuations and execution risk on the large order book converting into delivered, billed revenue on schedule.

Business Standard — [source](#)

June 8, 2026

Coverage highlights book-to-bill ratio near 7x after large order win

Market commentary pointed to BHEL's book-to-bill ratio reaching roughly 7x following a large recent order win, with brokerages publishing updated target prices.

Business Today — [source](#)

KEY TAKEAWAY › Read together, these 5 items tell a consistent story: strong reported results and order momentum (profit +221%, a fresh Rs 11,800 Cr order win, a ~7x book-to-bill ratio) sitting alongside analyst caution on the same two points flagged throughout this deck -- valuation richness and execution risk on converting that order book into delivered revenue. The news flow supports the bull case's facts and the bear case's concerns simultaneously, which is exactly why this deck treats it as a genuine open question rather than resolving it either way.

SECTION 3

Financial Analysis

- Financial Snapshot
- Financial History & Growth Trends
- Financial Trend Charts
- Common-Size Statement

SECTION 3 OPENS WITH THE 3 NUMBERS THAT MATTER MOST

Financial Snapshot

P/E RATIO	P/B RATIO	RETURN ON EQUITY
61.0x	5.7x	6.1%

P/E Ratio	Roughly how many years of current profit it would take to earn back today's share price. Lower can mean cheaper — but only means something read against the sector average (Section 4), not alone.
P/B Ratio	Compares the share price to the company's accounting net worth per share. A P/B well above 1x means the market values the business far above its stated book assets.
Return on Equity (ROE)	How efficiently the company turns shareholder capital into profit. Consistently higher ROE than peers, at similar leverage, generally signals a stronger underlying business.

Full historical trend, growth-rate analysis, and chart-by-chart commentary follow over the next several pages of this section.

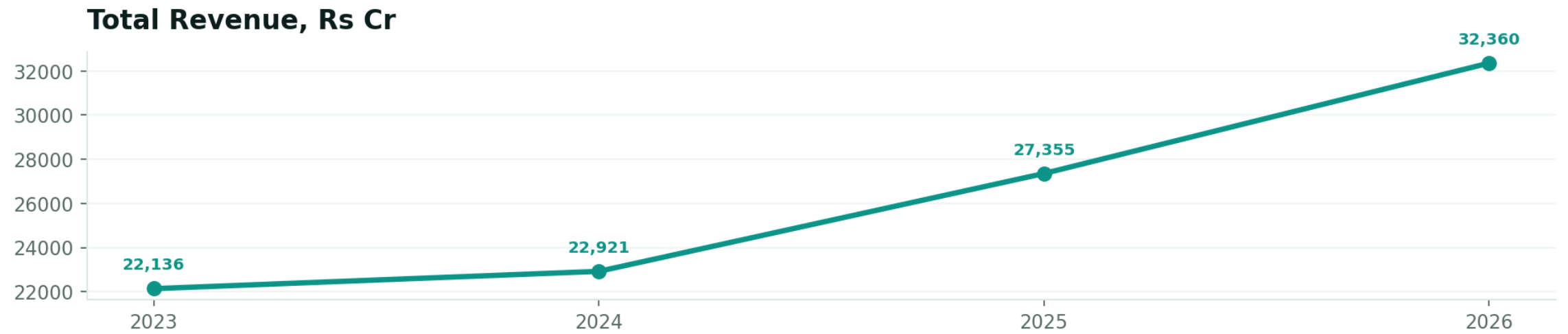
Financial History (last 4 years)

Metric (Rs Cr)	FY2023	FY2024	FY2025	FY2026
Total Revenue	22,136	22,921	27,355	32,360
Net Income	637	282	534	1,600
EBITDA	1,497	1,223	1,766	3,210
Total Debt	5,454	8,856	9,015	8,187
Stockholders Equity	24,378	24,439	24,722	26,147
Free Cash Flow	-929	-3,945	1,888	5,248
ROE	2.6%	1.2%	2.2%	6.1%
Year-over-year growth				
YoY Growth	FY2024	FY2025	FY2026	
Revenue Growth	+3.5%	+19.3%	+18.3%	
Net Income Growth	-55.7%	+89.2%	+199.7%	

KEY TAKEAWAY › Revenue grew at a 13.5% CAGR and Net Income at a 35.9% CAGR over the last 3 years of available data — profit growth outpaced revenue growth, suggesting improving margins.

FINANCIAL TREND ANALYSIS 1 OF 4

Revenue Trend

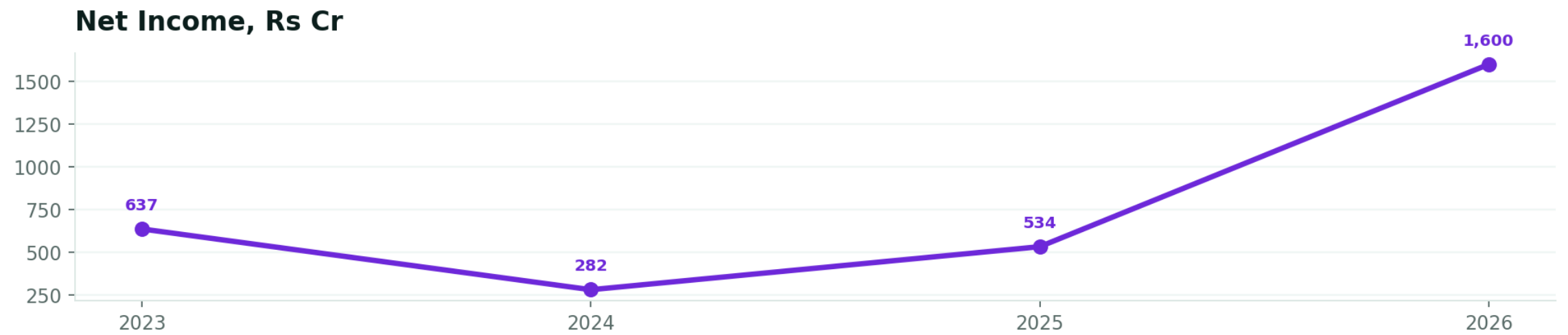


- Revenue grew 46% cumulatively from FY2023 to FY2026 (Rs 22,136 Cr → Rs 32,360 Cr), a 13.5% CAGR over 3 years.
- Growth has been uneven year to year (from +3.5% to +19.3%), rather than a smooth trend — consistent with lumpy, order-book-driven revenue recognition typical of capital-intensive project businesses.

KEY TAKEAWAY › BHEL's revenue trend over FY2023-FY2026 shown above — see the bullets for what's actually driving the shape of this line, not just its direction.

FINANCIAL TREND ANALYSIS 2 OF 4

Profitability Trend

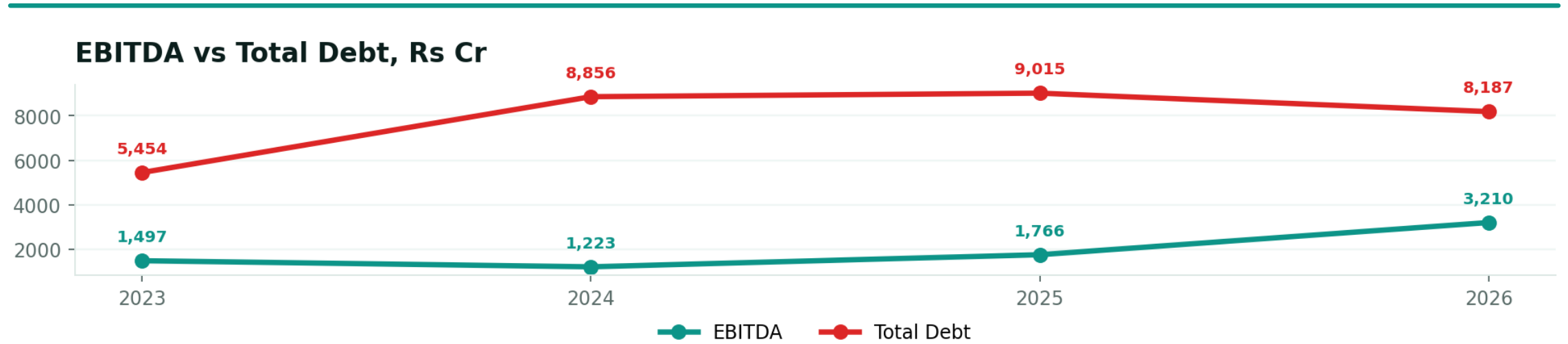


- Net margin moved from 2.9% in FY2023 to 4.9% in FY2026 — expanding profitability on each rupee of revenue.
- Net Income CAGR (35.9%) has outpaced Revenue CAGR (13.5%) — classic operating leverage: fixed costs are being spread over a larger revenue base.
- Profit dipped in FY2024 (Rs 282 Cr) before recovering — a single weak year rather than a multi-year decline.

KEY TAKEAWAY › Net Income for BHEL across FY2023-FY2026 — read alongside the Revenue Trend page to see whether profit is growing with, faster, or slower than revenue.

FINANCIAL TREND ANALYSIS 3 OF 4

Operating Profit vs. Leverage

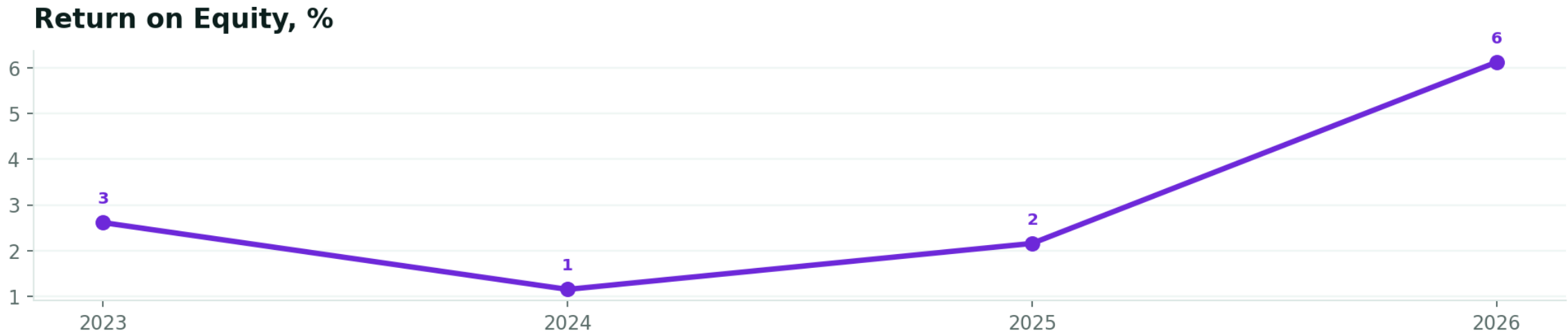


- EBITDA margin moved from 6.8% to 9.9% over the period — a genuine improvement in core operating efficiency.
- Total Debt has risen 50% over the period (Rs 5,454 Cr → Rs 8,187 Cr) while EBITDA grew — the operating profit base has kept pace with rising leverage.
- At the latest EBITDA of Rs 3,210 Cr against Rs 8,187 Cr of debt, it would take roughly 2.6 years of current EBITDA to clear all debt — the Debt-to-EBITDA figure on the Leverage page.

KEY TAKEAWAY › EBITDA (operating profit) plotted against Total Debt for BHEL — the gap or convergence between these two lines is the core leverage story for this company.

FINANCIAL TREND ANALYSIS 4 OF 4

Return on Equity Trend



- ROE moved from 2.6% to 6.1% over FY2023-FY2026 — a meaningful improvement in how efficiently shareholder capital is being turned into profit.
- Shareholder Equity grew 7% over the period (retained profits accumulating on the balance sheet) — a larger equity base makes a given ROE % harder to sustain without proportionally larger profit growth.
- Average ROE across the 4 years shown was 3.0% — compare this to the Sector Comparison page to judge whether this is a structurally strong or weak return on capital for this industry.

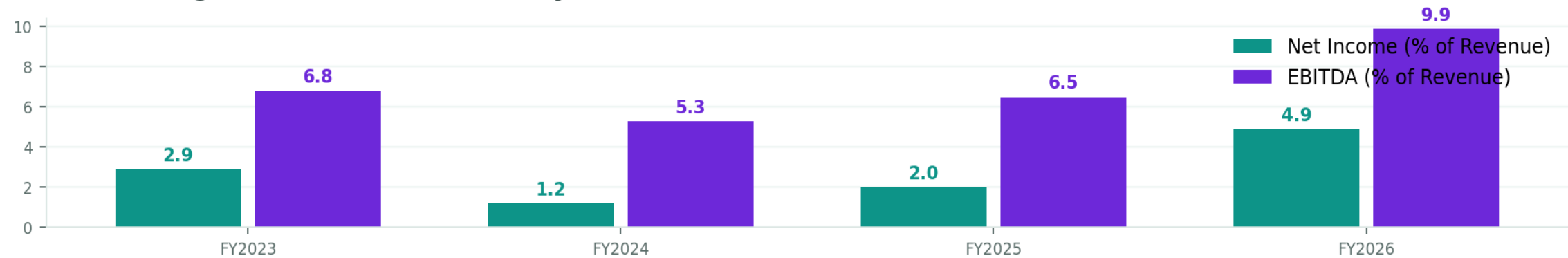
KEY TAKEAWAY › BHEL's ROE trend — the Sector Comparison page next shows whether this is strong or weak relative to real sector peers, not just relative to its own past.

WHAT THIS TABLE MEANS

Common-Size Statement (% of Revenue) (1/2)

What is this? A common-size statement restates every P&L line as a percentage of that year's Total Revenue instead of a raw Rupee figure. That makes it possible to compare cost and margin structure across years (or against a peer of a different size) on a level footing — e.g. if Net Income was 4.8% of revenue in FY23 and 6.1% in FY26, profitability improved even if you ignore the absolute Rupee numbers entirely.

BHEL Margins as % of Revenue, by Year



KEY TAKEAWAY › EBITDA margin moved from 6.8% of revenue in FY2023 to 9.9% in FY2026 — the full year-by-year breakdown, including Total Debt, Equity and Cash Flow as a % of revenue, is on the next page.

FULL TABLE, EVERY LINE ITEM

Common-Size Statement (% of Revenue) (2/2)

% of Revenue	FY2023	FY2024	FY2025	FY2026
Net Income	2.9%	1.2%	2.0%	4.9%
EBITDA	6.8%	5.3%	6.5%	9.9%
Total Debt	24.6%	38.6%	33.0%	25.3%
Stockholders Equity	110.1%	106.6%	90.4%	80.8%
Total Assets	257.1%	257.4%	248.9%	235.4%
Operating Cash Flow	-3.3%	-16.2%	8.0%	18.0%

Shows how each line item has moved relative to revenue over time — a shrinking Net Income % of revenue, for instance, means margins are under pressure even if revenue itself is growing.

KEY TAKEAWAY › Total Debt moved from 24.6% of revenue to 25.3% over this period (+0.7 points) — cross-check this against the Leverage & Solvency page later in this section, which shows the same trend as a hard Debt-to-Equity ratio.

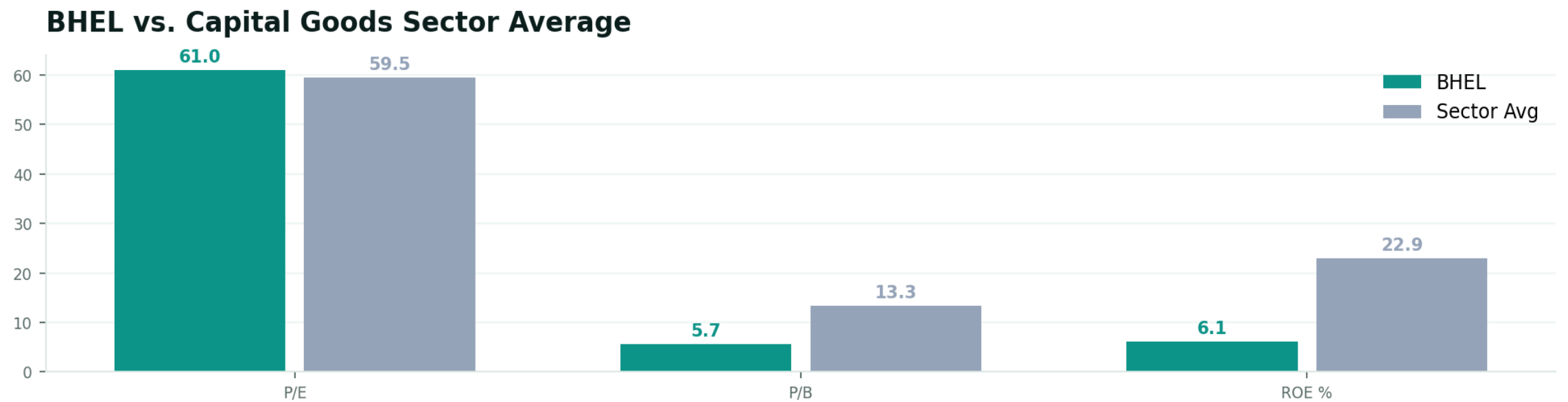
SECTION 4

Peer & Sector Benchmarking

- Sector Comparison
- Competitor Benchmark
- Peer Positioning Map
- Leverage & Solvency Ratios

STOCK VS. SECTOR AVERAGE, AT A GLANCE

Sector Comparison — Capital Goods



KEY TAKEAWAY › BHEL's P/E is 3% above its sector average — trading at a premium the market is paying for something (growth, order book, quality) not yet visible in trailing ratios.

Note: the sector average shown is a current, point-in-time snapshot across sector peers — we do not fabricate a multi-year historic sector-average series, since our data source does not carry that history reliably enough to publish it as fact.

Competitor Benchmark

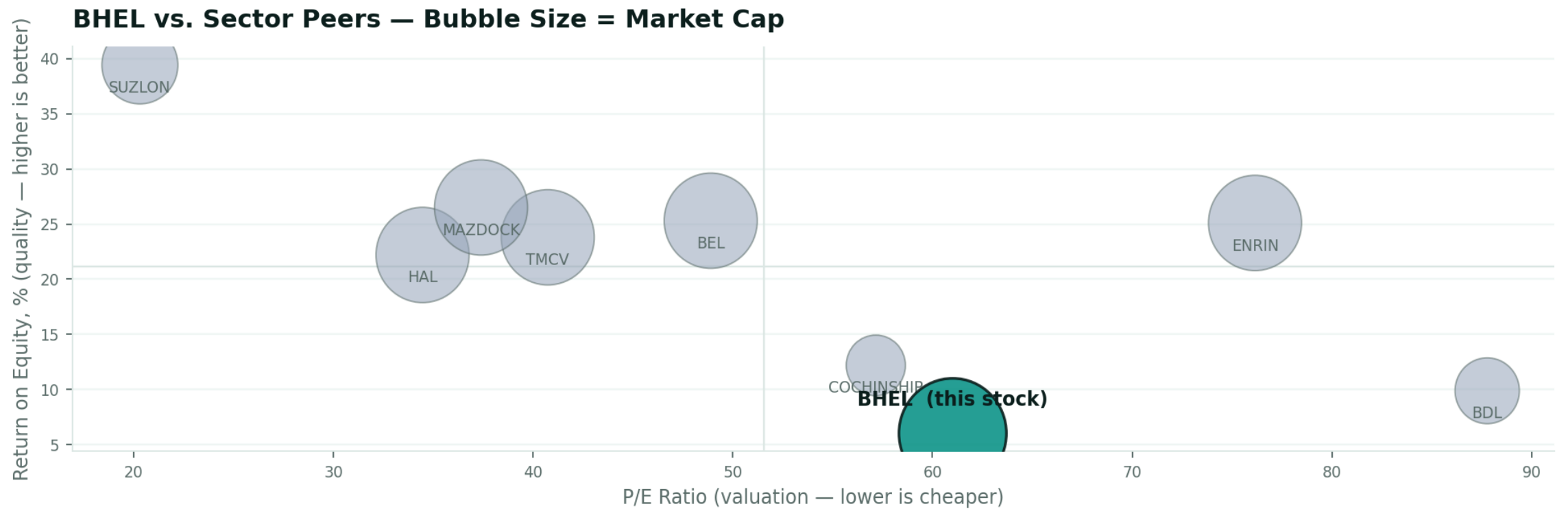
Company	P/E	P/B	ROE	Mkt Cap (Cr)
BHEL (this stock)	61.0	5.7	6.1%	148,527
HAL	34.5	7.8	22.2%	321,520
BEL	48.9	12.5	25.3%	300,578
TMCV	40.7	13.4	23.8%	171,006
ABB	99.5	16.8	19.1%	156,727
POWERINDIA	127.2	28.1	19.1%	145,484
SIEMENS	85.0	10.4	15.9%	143,517

Compared against its largest sector peers within the Nifty 200 by market capitalisation (real figures from the same dataset, not estimates).

KEY TAKEAWAY › Among its 22 largest sector peers, GVT&D; has the highest ROE (45.8%) vs BHEL's 6.1% — worth understanding why before treating either figure in isolation.

VALUATION VS. QUALITY, AT A GLANCE

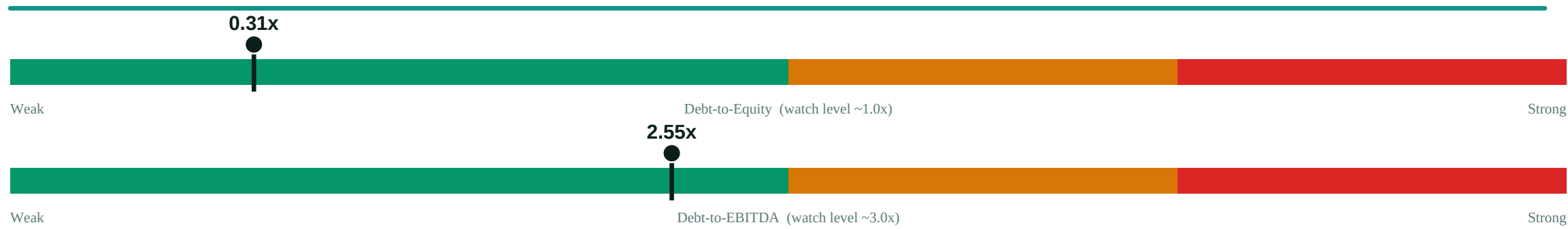
Peer Positioning Map



KEY TAKEAWAY › BHEL sits in the quadrant that is expensive despite below-average returns — the harder combination to justify, relative to the peer set shown above.

BALANCE-SHEET RISK, VISUALIZED

Leverage & Solvency Ratios



Debt-to-Equity above ~1x, or Debt-to-EBITDA above ~3x, generally signals a more leveraged balance sheet — worth weighing against the sector norm before drawing conclusions.

KEY TAKEAWAY › Debt-to-Equity of 0.31x is below the ~1x watch level — leverage looks manageable on this measure alone.

Note: Liquidity ratios (Current/Quick Ratio) and Efficiency ratios (Asset/Inventory Turnover, Receivables Days) are not shown — our data source doesn't include Current Assets, Current Liabilities, Inventory or Receivables figures, so we're not able to compute these honestly.

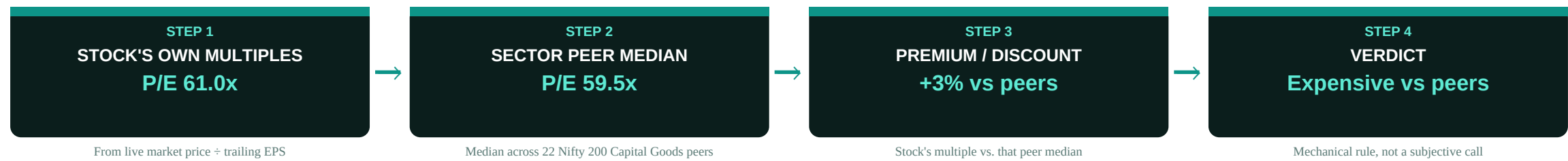
SECTION 5

Valuation, Risk & Outlook

- Valuation Detail
- Why This Verdict
- Analyst Perspectives — Bull vs. Bear
- Our Take
- What Would Change Our View
- 3-Year Trend-Based Forecast
- Risk Flags

HOW CLEARSTOCKS REACHED THIS VERDICT — METHODOLOGY

Valuation Detail

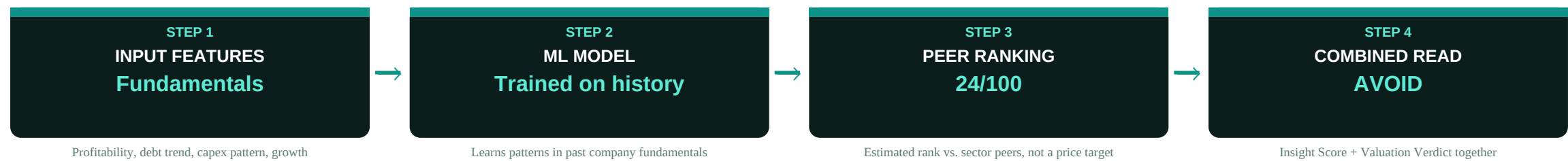


WHAT THIS DOES CAPTURE	WHAT THIS DOES NOT CAPTURE
• Whether the stock is priced richer or cheaper than same-sector peers right now • A repeatable, mechanical comparison — same rule applied to all 200 stocks	• Whether the premium is justified by superior growth, order book, or moat • The company's own valuation history — only today's peer snapshot

KEY TAKEAWAY › BHEL is flagged **Expensive vs peers (EV_to_EBITDA, 47%)** because its current multiple sits +3% vs peers — a data comparison, not a judgement on whether that premium is deserved.

INSIGHT SCORE METHODOLOGY

Why This Verdict



KEY TAKEAWAY › AVOID (weak signal + expensive) — a weak Insight Score combined with a valuation that's +3% vs peers is what mechanically produces this read; it is not a prediction of where the stock goes next.

Past patterns in fundamentals are not a guarantee of future results — this is a research signal, not investment advice.

THIRD-PARTY RESEARCH, PARAPHRASED & SOURCED

Analyst Perspectives — Bull vs. Bear

The views below are ClearStocks' own paraphrase of publicly reported brokerage/analyst commentary — not our own opinion, and not a reproduction of any single report. Each point is sourced.

THE BULL CASE	THE BEAR CASE
• Several brokerages (ICICIDirect, Dolat Capital, Antique Stock Broking, Phillip Capital, JM Financial, 360 One Capital, IIFL) point to BHEL's roughly Rs 2.6 lakh crore order book as providing strong revenue visibility over the medium term, with one bull-case target implying about 40% upside from current levels. • Coverage of the Q1 FY27 results highlighted robust execution -- about 40% year-over-year revenue growth and a return to profitability -- with several analysts expecting operating leverage and a richer business mix to drive margin expansion from here. • Bulls also note the revenue base is reasonably diversified across thermal power (~81%), industry (~17%) and exports (~2%), which some see as a cushion against a slowdown in any single segment.	• Bearish brokerages (cited: JPMorgan, Macquarie, PL Capital, CLSA, Axis Capital, Kotak Institutional Equities) argue that thermal power order inflows actually fell around 19% year-over-year in FY26, and that 'the best of the thermal power ordering cycle is already behind' the company -- with a bear-case target implying over 60% downside. • A separate downgrade (Prabhudas Lilladher, to 'Reduce') flagged that the stock's rally may be running ahead of fundamentals, pointing to a trailing P/E of roughly 143-150x versus an industry peer average of about 30x -- over a 400% valuation premium. • Longer-term bears flag structural risk from the energy transition -- renewables and battery storage displacing thermal power capacity additions -- as a headwind to BHEL's core order book over time.

Sources: [Business Today](#) · [Whalesbook](#)

SCORECARD SYNTHESIS, NOT A BUY/SELL CALL

Our Take

INSIGHT SCORE	VALUATION	LEVERAGE (D/E)	ORDER BOOK
24/100	Expensive vs peers	0.31x	Rs 2,40,000 Cr (approx.)

On ClearStocks' model, BHEL combines a middling Insight Score (24/100) with a valuation that already looks expensive versus sector peers on an EV/EBITDA basis - the AVOID read reflects that combination mechanically, not a judgement on the company's underlying momentum. Independently reported facts worth weighing against that model read: BHEL's order book has grown to roughly Rs 2.4 lakh crore (about 7x book-to-bill), heavily concentrated in the Power segment (81%), and FY26 revenue and profit both grew meaningfully year-over-year. A stock can look statistically expensive precisely because the market has already priced in strong forward order-book conversion ahead of it fully showing up in trailing ratios like P/E and P/B - analysts covering the stock have flagged both this valuation richness and execution risk (whether the order book converts to delivered, billed revenue on schedule) as the two sides of this same tension. This model does not resolve that tension either way - it is a data snapshot, not a professional analyst's judgement call.

This is ClearStocks' own automated synthesis of the model output and the numbers above — not professional analyst commentary, and not investment advice.

SPECIFIC TRIGGERS, NOT A PREDICTION

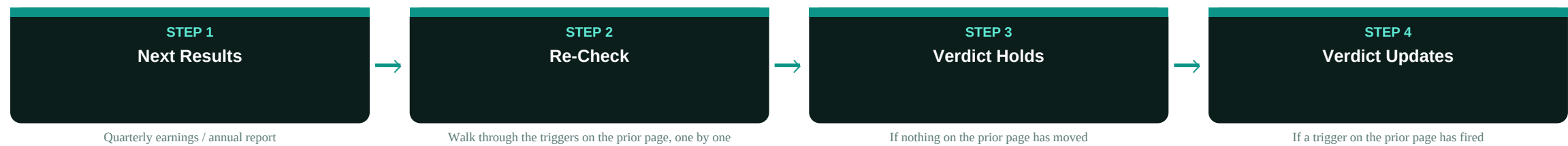
What Would Change Our View (1/2)

WOULD MAKE US MORE POSITIVE	WOULD MAKE US MORE CAUTIOUS
• P/E compresses toward the Capital Goods sector average (currently 59.5x vs. BHEL's 61.0x) without a matching drop in earnings — the premium would then be paid for, not merely priced in. • Order-book execution converts into revenue faster than the historical CAGR implies, or a large new order is announced — direct evidence the multi-year visibility is turning into cash. • One of the growth drivers named in the Industry Context section (Section 2) shows up concretely in an earnings call or annual report — moving from a sector-level tailwind to a company-specific one.	• Order intake slows or existing orders are delayed/cancelled — the order book is the core of the bull case, so its trend is the single most important number to re-check each quarter. • Debt-to-Equity rises meaningfully above its current 0.31x — the balance sheet is a strength today, and that would erode it. • Net Income growth reverses and turns negative for two consecutive years — the current growth trend is doing a lot of the work in this verdict. • One of the emerging risks named in the Industry Context section materializes for this company specifically, not just the sector in general.

KEY TAKEAWAY › 3 triggers on each side above, all tied to numbers already shown elsewhere in this deck — the next page turns this into a simple quarterly re-check process.

HOW TO USE THIS PAGE EACH QUARTER

What Would Change Our View (2/2)



KEY TAKEAWAY › None of this is a prediction that any of these will happen — it's a checklist of exactly which numbers, from the sections already in this report, would change the read above if they moved. Re-check this deck against the next quarter's results using this page as the guide.

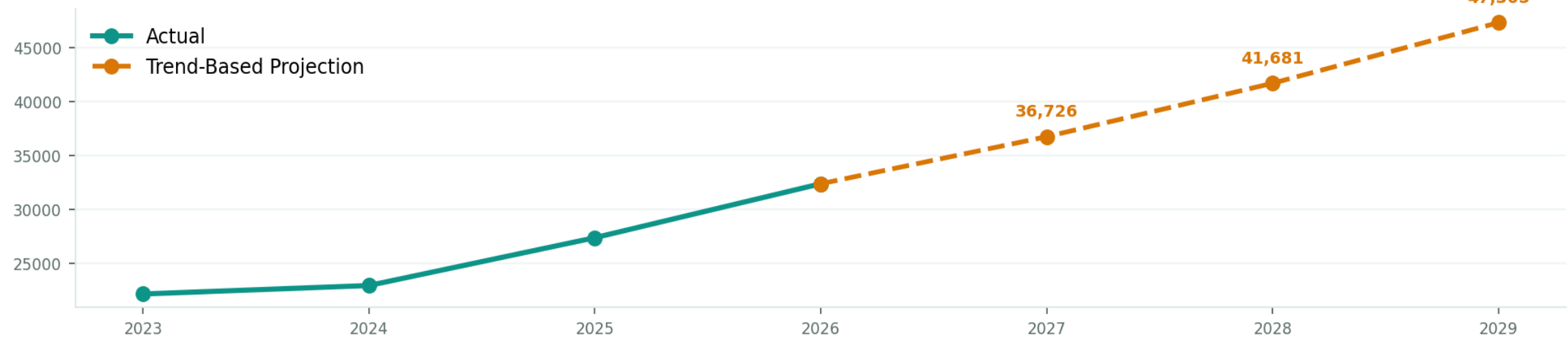
This is the one page in the deck designed to be reused, not just read once — bookmark it, and walk through both sides of the prior page's table every time BHEL reports results.

3-Year Trend-Based Forecast

This is not a professional forecast or a DCF model. It's a simple, mechanical projection: we take the actual growth rate this company posted over its last 3 years of available data, and extend that same rate forward. Real results depend on far more than a straight-line extrapolation of the past.

Metric (Rs Cr)	FY2026 (actual)	FY2027E	FY2028E	FY2029E
Revenue	32,360	36,726	41,681	47,305
Net Income	1,600	2,175	2,956	4,017

BHEL Revenue — Actual vs. Trend-Based Projection (Rs Cr)



Based on a historical Revenue CAGR of +13.5% and Net Income CAGR of +35.9% over the last 3 years.

4 MECHANICAL CHECKS RUN AGAINST THE NUMBERS ABOVE

Risk Flags

DEBT TREND	MARGIN TREND	FREE CASH FLOW	LEVERAGE
CLEAR Total Debt rising every year	CLEAR Net margin declining every year	CLEAR Most recent year negative	CLEAR Debt-to-Equity above 1.5x

KEY TAKEAWAY › All 4 mechanical checks come back clear — no rising-debt, declining-margin, negative-FCF or elevated-leverage pattern detected. This is not a full risk assessment; always verify independently.

SECTION 6

Appendix & Methodology

- Risks & Limitations
- Disclaimers
- Appendix — Raw Financial Data
- Glossary & Methodology

Risks & Limitations

- This deck is generated automatically from a statistical model and public data — it has not been reviewed by a financial analyst.
- Historical patterns the model relies on may not repeat in the future.
- Data may be delayed or contain provider errors; always verify key figures independently.
- The 3-year forecast above is a mechanical extrapolation of past growth, not a professional projection — it does not account for competition, macro conditions, or company-specific plans.
- This is not a substitute for professional financial advice.

Disclaimers

1. General: This document is produced by an independent, personal research project (ClearStocks) for educational purposes only.
2. Not Investment Advice: Nothing in this deck is financial, investment, legal or tax advice.
3. No Recommendation: The Insight Score and valuation verdict are model outputs, not a recommendation to buy, hold or sell.
4. Data Accuracy: Figures are sourced from public data providers and may contain errors, delays or omissions.
5. No Guarantee: Historical performance and model scores do not guarantee future results.
6. Liability: The creator of this deck accepts no liability for losses arising from its use.

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EVERY NUMBER IN THIS DECK, TRACEABLE

Appendix — Raw Financial Data

Every figure used to build the tables, charts, ratios and forecast in this deck, exactly as recorded per fiscal year, converted to Rs Crore to match every other table above. Use this to verify any calculation independently.

Metric	2023-03-31	2024-03-31	2025-03-31	2026-03-31
Total Revenue (Rs Cr)	22,136	22,921	27,355	32,360
Net Income (Rs Cr)	637	282	534	1,600
EBIT (Rs Cr)	1,237	974	1,494	2,894
EBITDA (Rs Cr)	1,497	1,223	1,766	3,210
Total Debt (Rs Cr)	5,454	8,856	9,015	8,187
Stockholders Equity (Rs Cr)	24,378	24,439	24,722	26,147
Cash & Equivalents (Rs Cr)	1,449	1,719	390	1,083
Total Assets (Rs Cr)	56,920	59,002	68,083	76,186
Free Cash Flow (Rs Cr)	-929	-3,945	1,888	5,248
Operating Cash Flow (Rs Cr)	-741	-3,713	2,192	5,837
Capital Expenditure (Rs Cr)	-188	-232	-304	-589
ROE	2.61%	1.15%	2.16%	6.12%

Glossary & Methodology

P/E Ratio — Price-to-Earnings: share price divided by earnings per share. Roughly, how many years of current profit it would take to earn back today's price.

P/B Ratio — Price-to-Book: share price divided by book value (net worth) per share.

ROE — Return on Equity: Net Income divided by Stockholders Equity — how efficiently a company turns shareholder capital into profit.

EBITDA — Earnings Before Interest, Tax, Depreciation & Amortisation — a proxy for core operating profitability before financing and accounting effects.

Free Cash Flow — Operating Cash Flow minus Capital Expenditure — cash actually left over after running and maintaining the business.

Debt-to-Equity — Total Debt divided by Stockholders Equity — how much of the balance sheet is funded by borrowing vs. owners' capital.

Debt-to-EBITDA — Total Debt divided by EBITDA — roughly, how many years of operating profit it would take to pay off all debt.

CAGR — Compound Annual Growth Rate — the constant year-over-year growth rate that would take a starting value to an ending value over a given number of years.

Common-Size Statement — Every financial-statement line shown as a percentage of Total Revenue for that year, making it easy to compare structure across years regardless of company size.

Insight Score — ClearStocks' own 0-100 model output, estimating how a stock's fundamentals rank against its peers based on historical patterns.

Data & methodology, in brief: financial history comes from this project's own fundamentals pipeline, sourced from company financial statements. Sector and competitor figures are computed live from the same Nifty 200 dataset the website uses — every peer is a real company with real, current figures, never a synthetic average. The 3-year forecast is a compound-growth extrapolation of each company's own historical CAGR, not a DCF model. Not included: Liquidity/Efficiency ratios (the underlying balance-sheet line items aren't in this data source) — omitted rather than estimated.

Thank you.

This concludes the ClearStocks Company Deck for BHEL — Bharat Heavy Electricals.

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Refreshed monthly · Educational research only, not investment advice